

Leon Godtfredsen, Armaan Savjani ^{a,1}^algodtfredsen@w3tid.co.uk, ssarbaz@w3tid.co.uk, jdavidson@w3tid.co.uk, armaan.savjani@proton.me

This manuscript was compiled on May 27, 2026

Abstract—Welcome to the fifth Market Report from the Web3 Trading and Investment Division. We discuss market news, macro developments and how these alter our market thesis. BTC sits near \$76,626, having rejected at the 200-day moving average (\$80,500, a level we flagged as critical resistance last edition). Our portfolio achieved positive returns for the first time this cycle but has reverted to near net 0%. Rising long-end yields, the 200D rejection and structurally thin liquidity are aligning with our theorised summer-lull thesis. Sentiment short-term bearish, medium-term bearish. We continue to expect capitulation in Q2/Q3 2026.

1. MARKET NEWS

The past month has been dominated by a Fed leadership transition, the Trump-Xi Beijing summit, a synchronous global long-end repricing, and an AI capex cycle that continues to defy the broader macro slowdown.

- **Warsh Confirmed as Fed Chair** → Confirmed May 13 (54–45), with Powell remaining on the Board. Trump expects cuts, but the macro setup complicates this: CPI 3.8%, PPI 9.82% YoY, unemployment 4.3%. Warsh's preference for the Dallas Fed Trimmed Mean PCE (2.36%) over Core PCE (3.2%) is notable — Trimmed Mean lagged Core by over a percentage point during 2021–22, and the widening 0.84pp spread signals broadening inflation.
- **Trump-Xi Beijing Summit** → The May 14–15 visit fell short of expectations. Despite the staging, no substantive agreements were reached. Xi warned that conflicts over Taiwan remain possible and Jensen Huang's push for H200 export resolution remains in legal limbo. Most analysts read it as a tone-reset that produced little of consequence.
- **Mega-IPO Window** → SpaceX filed May 20 (SPCX) for a mid-June Nasdaq listing at \$1.75T, the largest IPO by proceeds in history. OpenAI is reportedly filing its own S-1 for an autumn debut above its \$852bn mark, alongside Anthropic's reported \$950bn IPO. Q3/Q4 will see the largest concentration of mega-tech IPO supply in history, a meaningful liquidity drain.
- **Nvidia Q1 FY27 Earnings** → Revenue \$81.6bn (+85% YoY), Data Center a record \$75.2bn (+92% YoY). Q2 guide \$91bn, excluding China. The AI capex cycle shows no observable moderation.
- **Semiconductor Positioning at Extremes** → SMH up 50%+ YTD. Citadel Securities reports retail transacted ~2.8x post-2020 average daily volume in semi options through May 17 — a record surpassing the June 2024 Nvidia stock-split print, which had a defined catalyst. This one does not.
- **Global Long-End Repricing** → US 30Y hit 5.2% intraday May 19 (highest since 2007), German Bund at a 15-year high, Japanese 10Y JGB at a 28-year high. The 10y10y forward is making fresh highs across nine DM. The curve shape — 30Y leading 10Y leading 2Y — indicates the market is pricing higher long-run inflation and term premium, not stronger growth. BofA FMS shows 62% expect the 30Y to reach 6%; BMO flagged 5.25% as the equity-drawdown trigger, spot currently 5.18%.

2. MARKET DEVELOPMENTS

2.1. Price action and breadth

Price action has turned notably bearish, with BTC near \$76,626 after rejection at the 200D MA. The S&P 500 sits at ~7,489, off the May 14 high of 7,517.12. Gold at \$4,510–\$4,542 continues to behave as a risk-sensitive rather than safe-haven asset. War tensions continue to drive violent intraday swings across asset classes.

- 7/30D Price change: **BTC @ \$76,626**: [-3.5% / -4.5%]
ETH @ \$2,115: [-6.5% / -15.2%] **Top 20**: [-4.4% / -5.3%]

2.2. Macro backdrop

- **Unemployment**: 4.3%, unchanged from April. Initial Claims at 209,000 for the week ending May 16, in line with expectations. Labour market remains low-hire, low-fire.
- **CPI**: 3.8%, highest since May 2023, driven by energy costs jumping 17.9% YoY. Core CPI up to 2.8%, above forecasts of 2.7%.

The Fed held at 3.50–3.75% for a third consecutive meeting in April, with an 8-4 dissent (most split since October 1992) and officials signalling policy firming if inflation stays above 2%. Warsh inherits this stance. The ECB held its deposit facility rate at 2.00% on April 30 for the third straight hold, though flash eurozone CPI jumped to 3.0% and policymakers debated a hike, with the June meeting watched for a possible 25bps move. Majority DM central bank officials have been hesitant to tighten off recent cost-driven inflation, wary of being mistaken if a US-Iran deal is finalised (Polymarket: 37% by May 31).

2.3. Open interest and CME futures

Leverage conditions help frame the current state of the market.

- Aggregate BTC Open Interest currently \$25.2B, slightly elevated since April.
- BTC Weighted OI Funding Rate is -0.0002%.

Open Interest at \$25.2B coupled with a neutral funding rate indicates minimal speculative froth, with the market remaining neutral post-capitulation.

2.4. Key levels and sentiment

Technical reference points continue to indicate short-term resistance and support guiding BTC's directional moves.

- **Key support**: \$72,000 **Key resistance**: \$83,000
- **Base case**: The break below \$76,000 reinforces the bearish summer thesis. \$83,000 is a strong resistance band, \$72,000 the key support cluster. Upside remains ~\$83,000, downside risk \$52,000–\$55,000 should macro deteriorate further.
- Fear & Greed Index: [33], indicating fear.
- BofA FMS cash levels at 3.9%, down from 4.3%, the largest monthly decline since February 2024 (see §3.1).

^algodtfredsen@w3tid.co.uk; armaan.savjani@proton.me (L. Godt, A. Savjani)

This document class was prepared on Overleaf and compiled with pdf_lat_X. No errors were found during the compilation process. Tau-class supports external editors, though additional setup may be required.

3. W3T MARKET ANALYSIS

3.1. When everyone's all in, who's left to buy?

The May BofA Global Fund Manager Survey reports a net 50% of managers overweight equities, the largest monthly jump on record, up from 13% in April. Cash allocations fell to 3.9% from 4.3%. Positioning is bifurcated and inconsistent: 40% of the same respondents flagged a second wave of inflation as their primary tail risk, while 66% are positioned for the Strait of Hormuz closure to sunset within months, a base case that, if wrong, removes the assumption holding current oil pricing in check.

- The crowding question → With cash at multi-year lows and equity exposure at record highs, the marginal buyer is structurally thin. Drawdown catalysts translate more directly into price than in a less stretched tape, and the conditions for cascading exits are in place even without a defined trigger.
- The inflation-hedge fallacy → Fund manager positioning is anchored to the belief that equities are an effective “inflation hedge”. The historical record contradicts this: S&P 500, US IG, and US HY indices all post weaker average YoY returns when CPI prints above 3% than below it.

Funds are maximally long the asset class that has historically underperformed in the macro regime they themselves identify as the primary risk, a setup for a sharper move on disappointment than current headline volatility implies. That said, crowded and overweight positioning is a *condition*, not a *signal*, and can persist for prolonged periods (“markets can remain irrational longer than you can remain solvent”). We flag asymmetry, not an imminent correction.

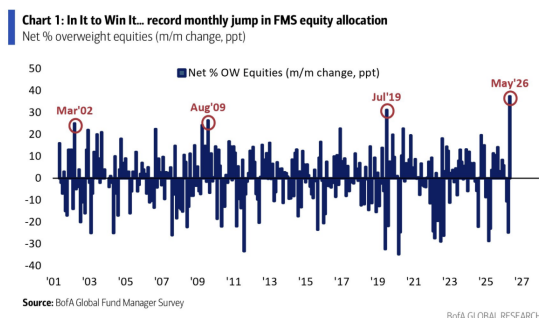


Figure 1. Equity Allocation Jump

3.2. The Global long-end is repricing

Global long-end yields broke higher in May, with the bond rout extending synchronously across developed markets. The US 30Y reached 5.2% intraday on May 19, its highest since July 2007. The move is not isolated: the German 10Y Bund at its highest since May 2011, the Japanese 10Y JGB at a 28-year high near 2.4%, and Swiss long-end yields rising for the first time in years. The 10y10y forward yield, a cleaner read of the long-run rate expectation than the spot 10Y, is making fresh highs across nine DM.

- The driver is inflation premium and deficits, not growth → The selloff is concentrated at the long end, with the 30Y leading the 10Y leading the 2Y. This curve shape indicates the market is pricing higher long-run inflation, not stronger near-term growth. Oil persistence from the Iran/Hormuz situation is the proximate catalyst; the global synchronicity points to a more structural rerating of sovereign credit in an era of widening deficits.

3.3. Trend and Regime Analysis: Rejection at the 200D

The 38.5% rally off the February 6 low carried BTC into its 200-day moving average, which remains downward-sloping. A falling 200D

MA is a defining characteristic of a downtrend; the rejection fails to challenge the regime, and trend-followers will read the failed retest as continuation. Price is now hovering around the 50-day MA at \$76,700, which has acted as a strong pivot throughout the rally. One candle has closed beneath; further sequential closes below would confirm a breach and make a near-term leg lower materially more probable. This supports our thesis of a higher low forming, with an eventual bottom in the summer-lull.

- Key levels → Resistance: 200D MA currently at \$80,500 and \$84,700 (prior swing high). Pivot: 50D MA at \$76,700 (currently testing). Support: \$62,700.



Figure 2. 200D SMA Break

4. MOVING FORWARD FOR W3T PORTFOLIO

The macro and geopolitical environment supports our broadly defensive stance. With Warsh confirmed and BTC rejected at the 200D MA, our summer capitulation thesis is tracking. The synchronous long-end repricing alongside oil persistence near \$100 leaves the Fed firmly on hold.

- Rejection at the 200D MA and sequential closes threatening the 50D at \$76,700 support our higher-low thesis, with capitulation more likely later in Q2/Q3 than imminent. Bottom range remains \$55,000, corresponding to BTC realised value.
- Record equity overweight, structurally thin marginal buyer, and Q3/Q4 IPO supply combine into a meaningful liquidity drain. That said, crowded positioning is a condition rather than a signal and can persist longer than the bear case implies. We are flagging asymmetry, not calling a date.
- Oil-price implications for the US economy are not yet acutely concerning. The US remains the largest oil producer and exporter globally, blunting the consumer pass-through that hits net-importer DMs harder. The AI capex cycle and semi export cycle remain intact, and the stimulative effects of the One Big Beautiful Bill provide additional tailwind to the US business cycle this year.

We continue building positions in BTC, ETH and GOLD, with capital deployment reserved for the theorised summer-lull (~30% of remaining capital). Buy orders sit at \$63,000, \$60,000, \$57,000 and \$54,000. We are also deploying conservative shorts in light of the confirmed rejection, and remain cautiously optimistic on an uptrend out of Q4/2026.

5. REFERENCES

Open Interest: coinglass.com/FundingRate. **CPI/Unemployment:** tradingeconomics.com. **Price:** coinmarketcap.com. **News:** FT & Economist.

Thank you for your time. Feedback and constructive criticism are always appreciated.